Procure Space ETF

SPCX NASDAQ

Buy	$141.62 ▲ 3.85%	12M Price Target	52-Week Range	Market Cap
		$165.00	$104.83 – $225.64	$1.92T

SPCX: Space ETF Bounces as Defense Budget Momentum Builds

WHAT HAPPENED

- SPCX bounced 3.85% to $141.62 after a nasty two-day drop (it tanked 6.4% on Oct 30). The rebound came on lighter volume (51M vs 122M on the selloff) — meaning fewer shares traded hands, so this looks more like a relief bounce than real conviction buying yet.
- Options traders are leaning bullish — the put/call ratio is 0.75 (more bets on the stock going up than down), and there's unusual call buying at $140–$142 strikes. Translation: somebody's betting this bounce has legs into November expiration.

WHY IT MATTERS

Here's the thing — SPCX is sitting at just 30% of its 52-week range, which means it's much closer to the lows ($104) than the highs ($225). That's either a gift or a warning, depending on what you believe about the space sector. The fact that Industrials led today (+1.20%) while Tech got hammered (-7% over 5 days) tells me money is rotating from speculative growth into "picks and shovels" plays — and space/defense sits right in that sweet spot. The unusual call buying at tight strikes ($140-142) suggests sophisticated money thinks the bottom is in near-term, likely because they see the FY2027 defense appropriations cycle heating up.

POLICY & POLITICAL WATCH

The big one to watch is the FY2027 National Defense Authorization Act (NDAA) — the annual bill that sets defense spending. Space Force funding has grown every year since 2019, and the current House version reportedly includes expanded allocations for satellite communications and space-based missile tracking, which directly benefits SPCX holdings like Iridium, Rocket Lab, and Planet Labs. Also keep an eye on the FCC's ongoing spectrum allocation decisions — favorable rulings for satellite broadband (think Starlink competitors) are a tailwind, while any delay in licensing hurts the group.

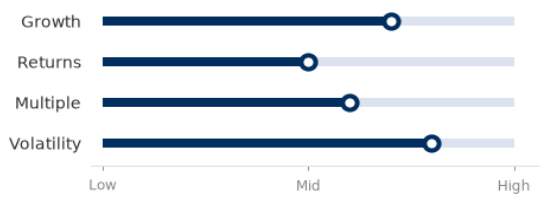
IS IT EXPENSIVE?

SPCX is an ETF, so instead of a P/E ratio, think about it as a basket — you're paying $141 for exposure to ~30 space-focused companies, weighted toward the bigger pure-plays. The fund trades at a premium to broad industrials because investors are paying up for the thematic growth story, but it's 37% off its 52-week high — meaning a lot of froth has already been squeezed out. If the defense budget expands as expected, the earnings estimates for underlying holdings get revised UP, which makes today's price look cheap in hindsight.

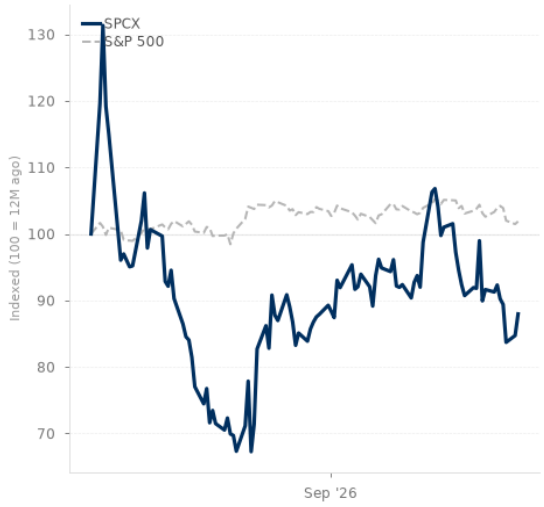
WHAT COULD GO WRONG

Key Data	
Price (USD)	**$141.62**
12M Price Target	**$165.00**
Upside / (Downside)	**+16.5%**
Market Cap	**$1.92T**
FY2026E Revenue	**$693M**
FY2027E Revenue	**$940M**
FY2026E EPS	**($2.10)**
FY2027E EPS	**($1.50)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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SPCX — Procure Space ETF | November 03, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$152.00**	$145.00	**$130.00**
6 Months	**$175.00**	$155.00	**$120.00**
1 Year	**$200.00**	$165.00	**$110.00**
2 Years	**$240.00**	$185.00	**$100.00**
5 Years	**$320.00**	$230.00	**$90.00**
10 Years	**$500.00**	$340.00	**$80.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+2.28% over 5 days) and Healthcare (+3.04%) — defense/aerospace is the quiet winner here as budget season heats up. Real Estate also catching a bid on rate-cut hopes.

COOLING OFF: Technology got whacked (-7% over 5 days) — the AI trade is taking a breather as investors question valuations. Comm Services down 2% follows the same story.

ROTATION WATCH: Money is clearly moving from high-multiple tech into "real economy" industrials and defense — that's a direct tailwind for SPCX because the ETF straddles both the growth story (space commercialization) AND the defense budget story.

RELATED PLAY: If space-defense keeps running, look at the pure-play defense primes (LMT, NOC, RTX) that supply the launch and satellite infrastructure — they benefit from the same federal spending without the launch-failure tail risk.

WHO'S WINNING IN THIS SPACE?

- ITA (iShares Aerospace & Defense ETF): Benefits from the same NDAA tailwind without the pure-play volatility of space names
- ROKT/RKLB (Rocket Lab): Any launch cadence beat drags the whole SPCX basket higher — it's a key constituent

SPCX CONTEXT: SPCX is lagging broader defense ETFs because space is the higher-beta, higher-volatility corner of the sector. That means when defense rallies, SPCX should rally MORE — today's 3.85% pop vs Industrials at 1.20% is exactly that leveraged-to-the-theme behavior. Good sign.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup (oversold, policy tailwinds, bullish options flow) but I want to see the NDAA actually move before pounding the table.

POSITION SIZE: 3-5% — this is a thematic ETF with real volatility (52-week range is more than 2x from low to high), so size it like a conviction idea, not a core holding.

ENTRY POINTS: I'd add in the $134-138 zone on any pullback — that's where buyers stepped in last week. Chasing above $145 before NDAA clarity is a worse risk/reward.

TIME HORIZON: 12-24 months — the catalyst is the FY2027 defense budget cycle playing out through 2026 and early 2027.

WHEN TO BAIL: If the ETF breaks below $120 on heavy volume (that would signal the whole space thesis is unraveling), or if the NDAA gets space allocations CUT rather than expanded.

HEDGING: Simplest hedge — keep some cash on the sidelines so you can average down if it drops. More sophisticated: pair this with a short position in an overvalued single-name space stock, so you're betting on the sector but not any one company blowing up.

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